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Question ID: 1575067

Four years ago, a company issued a fully amortizing annual-pay bond with a maturity of six years. The appropriate balance sheet treatment of this security is to record the liability as:

- ☐ **A)** current only.
- ☐ **B)** non-current only.
- ☐ **C)** part current and part non-current.

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Question ID: 1575068

On January 1, Orange Computers issued employee stock options for 400,000 shares. Options on 200,000 shares have an exercise price of \$18, and options on the other 200,000 shares have an exercise price of \$22. The year-end stock price was \$24, and the average stock price over the year was \$20. The change in the number of shares used to calculate diluted earnings per share for the year due to these options is *closest* to:

☐ **A)** 20,000 shares.

☐ **B)** 67,000 shares.

☐ **C)** 100,000 shares.

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Question ID: 1575069

Goodwill is *most likely* to be:

☐ **A)** amortized over its estimated useful life.

☐ **B)** tested for impairment at least annually.

☐ **C)** depreciated if certain criteria are met.

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Question ID: 1575070

Picknicktisch Plc., a manufacturer of outdoor furniture, reported cost of goods sold for the year of €60 million. Inventory declined by €4 million, but total assets increased by €30 million. Accounts payable increased by €1 million, while total liabilities increased by €25 million. The amount that Picknicktisch paid to its suppliers during the year is *closest* to:

☐ A) €55 million.

☐ B) €57 million.

☐ C) €63 million.

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Question ID: 1575071

An analyst wants to compare the cash flows of two United States companies, one that reports cash flow using the direct method and one that reports it using the indirect method. The analyst is *most likely* to:

- ☐ **A)** convert the indirect statement to the direct method to compare the firms' cash expenditures.
- ☐ **B)** adjust the reported CFO of the firm that reports under the direct method for depreciation and amortization expense.
- ☐ **C)** increase CFI for any dividends reported as investing cash flows by the firm reporting cash flow by the direct method.

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Question ID: 1575072

The *most appropriate* method of computing free cash flow to equity (FCFE) is:

☐ **A)** $NI + NCC + \text{Int}(1 - \text{tax rate}) - \text{FCInv} - \text{WCInv}$.

☐ **B)** $\text{CFO} + \text{Int}(1 - \text{tax rate}) - \text{FCInv}$.

☐ **C)** $\text{CFO} - \text{FCInv} + \text{net borrowing}$.

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Question ID: 1575073

In the notes to its financial statements, Gilbert Company discloses a €400,000 reversal of an earlier write-down of inventory values, which increases this inventory's carrying value to €2,000,000. It is *least likely* that:

☐ **A)** the net realizable value of this inventory is €2,000,000.

☐ **B)** a gain of €400,000 appears on the income statement.

☐ **C)** the reasons for this reversal are also disclosed.

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Question ID: 1575074

Considering financial reporting for research and development costs under IFRS, it would be *most accurate* to state that:

- ☐ **A)** IFRS allows research costs to be capitalized.
- ☐ **B)** IFRS requires research costs to be expensed.
- ☐ **C)** IFRS requires development costs to be expensed.

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Question ID: 1575075

Kreditnehmer AG enters a contract with Darlehensgeber SE that requires Kreditnehmer to pay €2 million at the end of each of the next two years to Darlehensgeber for exclusive use of a specific machine over that time period. The present value of these payments is €3.6 million. At the end of the contract, Kreditnehmer will return the machine to Darlehensgeber, as the contract contains no purchase option. The machine could potentially be used in various applications by different kinds of customers. The remaining useful life of the machine is five years, and its fair value is currently €6 million. This contract should *most accurately* be categorized as:

☐ **A)** a sales-type lease.

☐ **B)** an operating lease.

☐ **C)** a finance lease.

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Question ID: 1575076

Under U.S. GAAP, the pension component *most likely* to be recognized on the income statement in the period that it is incurred is the:

- ☐ **A)** past service costs.
- ☐ **B)** actuarial gains and losses.
- ☐ **C)** expected return on plan assets.

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Question ID: 1575077

Graphics, Inc. has a deferred tax asset of \$4,000,000 on its books. As of December 31, it is probable that \$2,000,000 of the deferred tax asset's value will never be realized because of the uncertainty about future income. Under U.S. GAAP, Graphics, Inc. should:

- ☐ **A)** reduce the deferred tax asset account by \$2,000,000.
- ☐ **B)** establish a valuation allowance of \$2,000,000.
- ☐ **C)** establish an offsetting deferred tax liability of \$2,000,000.

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Question ID: 1575078

When deferred tax liabilities are not expected to reverse, they should *most appropriately* be treated as:

- ☐ **A)** equity.,
- ☐ **B)** liabilities.
- ☐ **C)** neither liabilities nor equity.

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Question ID: 1575079

Which of the following is *least likely* to result in low-quality financial statements?

- ☐ **A)** Unsustainable cash flows.
- ☐ **B)** Activities that manage earnings.
- ☐ **C)** Conservative accounting choices.

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Question ID: 1575080

If a firm's management wishes to use its discretion to increase operating cash flows, it is *most likely* to:

- ☐ **A)** capitalize an expense.
- ☐ **B)** decrease the allowance for uncollectible accounts.
- ☐ **C)** change delivery terms from FOB destination to FOB shipping point.

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Question ID: 1575081

A decrease in a firm's inventory turnover ratio is *most likely* to result from:

- ☐ **A)** a write-down of inventory.
- ☐ **B)** goods in inventory becoming obsolete.
- ☐ **C)** decreasing purchases in a period of stable sales.

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Question ID: 1575082

Suppose that you wish to forecast future financial performance for a particular firm. You carry out an analysis to quantify what would happen if some economic event occurred, such as the loss of a supply source, a loss of customers, or some catastrophic event, by making a list of mutually exclusive and exhaustive events and assigning each probabilities. Then, you evaluate the range of outcomes, and calculate statistical measures such as the mean and median values for different key variables. The technique you are using is *most likely* to be categorized as:

☐ **A)** sensitivity analysis.

☐ **B)** scenario analysis.

☐ **C)** simulation.

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Question ID: 1575083

Suppose that you are forecasting the balance sheet items for a company you are modeling, and you use the firm's historical *sales to net working capital* ratio to forecast the company's working capital accounts. Your approach to forecasting the working capital accounts is *most likely* to be classified as a:

☐ **A)** bottom-up approach.

☐ **B)** hybrid approach.

☐ **C)** top-down approach.

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Question ID: 1575084

Suppose that our financial model for Wissenschaft AG estimates a terminal value using a valuation multiple based on the company's average price-to-earnings multiple (P/E) over the past three years. Suppose further that a technological development emerges that should affect Wissenschaft AG in a positive way, but that we expect this change will occur sometime beyond our financial forecast horizon. In terms of our terminal value calculation, our *most appropriate* response to this technological development would be to:

- ☐ **A)** increase the required return.
- ☐ **B)** make no change to the terminal value.
- ☐ **C)** increase the price-to-earnings multiple.